Connected Worker Platform

Business Model & Strategy

May 2026

Connected Worker Platform — Business Model

A primer for understanding how this platform makes money, who pays for what, and why the business gets stronger over time.

The one-paragraph pitch

We sell a platform that puts a QR sticker on every piece of warehouse-automation equipment so a technician can scan it and instantly see the right manual, the right parts list, the right procedure, and the right training for *that specific machine*. The business is durable because **three different parties pay us for different value from the same physical asset** — the OEM who built it, the integrator who installed it, and the end-customer who operates it. A single integration project becomes three layered revenue streams that compound over years.

The three customers and why each pays

There are three types of customers, and they're paying us for fundamentally different things.

1. The Integrator (e.g., Bastian, Fortna, Wynright)

What they buy: A productivity tool for their service organization across their entire project portfolio.

Why they pay: Service contracts are 30-40% margin while installs are 8-15%. Anything that makes service techs more productive — fewer truck rolls, faster MTTR, better first-time-fix rates — lets them either bid more competitively or pocket more margin. They pay because the platform pays for itself in fewer escalations and lower overtime.

Typical price: $42k/yr (Pro, up to 250 assets) → $90-120k/yr (Enterprise, up to 1,000 assets) → custom pricing above that.

2. The OEM (e.g., Flow-Turn, Honeywell Intelligrated, Intralox, SICK)

What they buy: Branded content distribution and aftermarket parts revenue capture across their entire installed fleet, regardless of which integrator installed it.

Why they pay: OEMs make thin margin selling equipment. The real money is in 15-20 years of parts, service, and consumables after the install. Right now most of that revenue leaks to third-party parts distributors (Grainger, Motion Industries) because techs in the field don't know where to order genuine OEM parts. When every QR scan on an OEM's equipment routes to that OEM's authoritative parts catalog, recovered aftermarket revenue dwarfs the subscription cost.

Typical price: $30-50k/yr (small specialty OEM) → $80-180k/yr (major OEM with large dealer network).

3. The End-Customer (e.g., FedEx, Amazon, Walmart, 3PLs)

What they buy: A single unified view of every piece of equipment in their facility, regardless of who built it or installed it, with full audit trails for compliance and competency tracking for safety.

Why they pay: Their in-house maintenance team needs to keep equipment running across dozens of vendors and decades of installations. Without a unified platform, every piece of equipment is a separate documentation silo. They also need audit trails for OSHA / safety compliance and competency records for technician training.

Typical price: $60-150k/yr per facility, with multi-site discounts for large customers.

How a single project becomes three revenue streams

Take a real example: **FedEx Memphis sortation system upgrade, with 25 Flow-Turn curves as one of a dozen subsystems, integrated by Bastian Solutions.**

Here's how the revenue stacks over seven years:

Year	Integrator (Bastian)	OEM (Flow-Turn)	End-Customer (FedEx)	Annual Total
1	$42k subscription + $20k authoring services	—	—	**$62k**
2	$42k	$40k (signs up)	—	**$82k**
3	$42k	$40k	—	**$82k**
4	$42k (or rolls off if FedEx takes over)	$45k	$50k (handoff year-1 discount)	**$137k**
5	$42k	$45k	$90k	**$177k**
6	$42k	$45k	$90k	**$177k**
7	$42k	$50k	$95k	**$187k**

7-year total: ~$900k+ from one integration project, with $187k recurring ARR by year 7.

The key insight: Bastian's role ends at warranty handoff (year 3), but the platform stays paid because the OEM and end-customer pick up where Bastian left off. The QR stickers stay on the equipment for 20 years; somebody is always paying.

The three customers pay for different value from the same asset

A common worry is "isn't it weird that all three pay for the same Flow-Turn curve?" It's not — they're paying for different rights and different value:

- **Flow-Turn (OEM)** pays for the right to distribute their authoritative content and capture aftermarket parts revenue across every Flow-Turn curve in the field.
- **Bastian (Integrator)** pays for managing their service portfolio — work orders, technician productivity, project tracking.

- **FedEx (End-Customer)** pays for unified facility management, compliance audit trails, and in-house competency tracking.

If Bastian loses the FedEx service contract to Fortna tomorrow, those 25 curves move from Bastian's tenant to Fortna's tenant. Flow-Turn's revenue doesn't change. FedEx's eventual signup doesn't change. **The OEM layer is the durable annuity; the integrator layer rotates.**

The library flywheel — why this business gets stronger over time

This is the most important strategic dynamic to understand.

Year 1 — empty library

When the first integrator signs up, the OEM library is empty. Every project requires expensive authoring from scratch — maybe $150-250k per multi-OEM project for sectioning manuals, linking parts to pages, structuring procedures.

Year 3 — library 50% full

After 2-3 years of integrator deals, you've authored content for the top 15-20 most common MHI OEMs (Honeywell, Hytrol, Intralox, SICK, Cognex, Flow-Turn, etc.). New integrator projects find 50-70% of their equipment already authored. Authoring services per project drop to **$30-60k**.

Year 5 — library mature

50+ OEMs in the library. New integrator projects pay only **$10-20k** for site-specific overlay work. Subscription becomes the bulk of integrator spend.

What's happening underneath

Each OEM signup does three things at once: 1. Adds **recurring subscription revenue** (durable annuity) 2. **Removes per-project authoring cost** for every future integrator project that uses that OEM's equipment 3. Increases the **platform's value to all future customers** (network effect)

The result is a flywheel: more OEMs → easier integrator sales → more integrators → more OEM cross-sell opportunities → more OEMs.

Pricing summary

Subscription tiers

Tier	Target customer	Asset cap	Price
Integrator Starter	Small dealer/integrator	50 assets, 25 techs	$1,200/mo ($14.4k/yr)
Integrator Pro	Mid-size integrator	250 assets, 100 techs	$3,500/mo ($42k/yr)
Integrator Enterprise	Large integrator	1,000 assets	$7,500-10,000/mo ($90-120k/yr)
OEM Small	Specialty OEM, ≤10 dealers	Unlimited assets, ≤1,000 fleet	$30-50k/yr
OEM Standard	Mid-size OEM	Unlimited, ≤5,000 fleet	$80-120k/yr
OEM Major	Top-tier OEM with large dealer network	Unlimited, unlimited fleet	$150-250k/yr
End-Customer Site	Single facility	Per-site, custom assets	$60-150k/yr per site
End-Customer Enterprise	Multi-site operator	Custom	Custom, $5k/site/mo floor

Services (one-time, per engagement)

Service	Typical price	Margin
Per-OEM manual authoring (sectioning, parts linking)	$15-25k	50-60%
Site-specific overlay authoring	$15-25k	50-60%
Project bundle (multi-OEM, multi-system)	$80-200k	50%
Onboarding & training	$5-15k	70%

Add-ons (metered)

- AI chat overage: **$0.05/message** beyond included pool
- Storage overage: **$0.10/GB/mo** beyond included quota
- Onboarding agent runs: 5 included/mo, **$250 each** thereafter

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Cost structure — why margins stay high

The platform itself is cheap to operate at scale. The infrastructure cost barely scales with new customers because:

- Each new asset is one database row — kilobytes, not gigabytes.
- Content is stored once and served from edge CDN (Cloudflare R2) — adding more customers doesn't multiply storage.
- AI chat is the only real variable cost, and overage pricing covers heavy users.

A typical OEM at 2,000 fielded units paying $40k/yr generates roughly **$500/yr in actual platform costs** — meaning **~98% gross margin** at the unit level.

The real costs that scale are headcount: sales reps, customer success, content authors. Those grow with revenue and are controllable.

Target gross margin at scale: 80-85%, factoring in services revenue (lower margin) and content authoring labor.

Why this is a venture-scale business, not a niche tool

Three structural reasons the model compounds:

1. **Three-sided market with layered revenue.** Most B2B SaaS has one buyer. We have three buyers per asset, each paying for different value, with the OEM layer being a durable annuity that survives integrator turnover.
2. **Network effects from the OEM library.** Once 50+ MHI OEMs are on the platform, every new integrator project finds most of its equipment pre-authored. The platform becomes the de facto standard, not because we marketed it well but because the alternative is paying $150k+ to author from scratch.
3. **High switching cost from physical-world lock-in.** QR stickers are physically attached to equipment for 20 years. Audit logs, training records, work-order history, and procedure evidence are compliance assets that can't be casually migrated. Once a customer is on the platform, leaving is hard.

Risks and mitigations

Risk	Mitigation
Integrator tries to NIH-build their own tool	Stay ahead on AI/RAG, content library breadth, multi-tenant overlay complexity
End-customer refuses to pay at handoff, equipment goes "dark"	Tenant deactivation kills QR resolution; make handoff motion easy with discounted year-1; pursue OEM signups so content stays alive even if integrator/end-customer churns
OEM concerned about sharing content with integrators they don't like	Content licensing terms — OEM owns base layer; integrator overlays are per-tenant, not shared upstream
Big OEM (Dematic, Honeywell) tries to build a competitor	Speed advantage; lock in the second-tier and specialty OEMs first; partnership rather than competition
AI cost spike	Overage pricing built into contract; switch to cheaper models (Haiku) for routine queries

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Year-1 plan in one paragraph

Close 5 founding-customer integrator deals at 50% off ($21k each = $105k ARR floor) using SANTECH's reference. Use those logos to land 1 OEM design partner at $80-100k/yr by end of Q3 2026. By Q4, expand into 1-2 end-customer pilots through that OEM at $5-10k/mo each. **Target year-1 ARR: $250-400k** with 8-12 paying tenants and ~70% gross margin. Close gaps in SAML SSO, CMMS webhook integration, and analytics dashboards in parallel — they'll be required for the bigger end-customer deals in year 2. Year-2 the OEM motion compounds toward $1.5-3M ARR.

The mental model that makes this click

A single piece of equipment — say, one Flow-Turn curve at FedEx Memphis — has multiple legitimate stakeholders:

- **The OEM owns the title** — they made it, their parts go in it, their manual covers it
- **The Integrator holds the service lease** — they're contractually responsible for keeping it running
- **The End-Customer owns the premises** — it's on their property, their techs operate it daily

Each stakeholder pays us for **their relationship to the asset**, not for the asset itself. That's why all three can pay simultaneously without it feeling unfair, and why the layered revenue compounds across the equipment's full 20-year service life.

The platform's job is to make the QR sticker on the equipment outlive any single contract that put it there.